

D562

Internal Auditing II

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

The chief audit executive at a regional insurer that writes policies in six states reports functionally to the CFO. The CFO also approves the audit plan, the audit budget, and the CAE's pay. This year the team rolled out a new data-analytics tool. What is the main concern?

- A. No concern, because reporting to a senior executive is standard.
- B. The objectivity of individual staff auditors is impaired.
- C. The independence of the internal audit activity is impaired; functional reporting should be to the board or audit committee.
- D. The analytics tool must be validated by IT before any audit work.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

An internal auditor transferred into the audit department eight months ago from accounts payable, where she was the supervisor. She is assigned to audit accounts payable. What is the issue?

- A. Her objectivity is presumed impaired because she ran the area within the past year.
- B. The independence of the internal audit activity is impaired.
- C. There is no issue, because she knows the process best.
- D. She may never audit accounts payable at any point in her career.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A CAE at a hospital system with 4,000 employees is building next year's audit plan. Payroll has been audited every year since 2015 with no findings. A new electronic billing system went live six months ago and claim rejections have doubled. The facilities unit just won a state safety award. Which area should get top priority?

- A. Payroll, because a long clean history must be re-verified first.
- B. The new billing system.
- C. Every area equally, so no unit is ever skipped.
- D. Facilities, to confirm the safety award was deserved.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

Before fieldwork on an audit of inventory counts at a distribution center, an audit senior with eleven years of experience has gathered background on the counting process. The warehouse manager is well liked by staff. What should the senior do next to set the engagement objectives?

- A. Interview staff about why the manager is well liked.
- B. Start testing a random sample of counts.
- C. Draft the final report outline.
- D. Perform a preliminary assessment of the risks relevant to the counting process.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

Auditing receivables at a furniture wholesaler that just opened a second showroom, an auditor wants the most reliable evidence that an \$85,000 balance owed by a key customer exists. The customer has bought from the wholesaler for nine years. Which evidence is most reliable?

- A. A copy of the invoice from the wholesaler's own files.
- B. A verbal assurance from the sales manager.
- C. No further evidence, given the nine-year relationship.
- D. A confirmation the auditor sends to the customer and receives back directly.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

Which of the following is the least reliable audit evidence?

- A. The auditor's recalculation of a depreciation schedule.
- B. An oral assurance from the manager of the area being audited.
- C. The auditor's own physical observation of the count.
- D. A bank statement sent straight to the auditor by the bank.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

Testing purchase approvals at a food-processing plant that runs three shifts, an auditor selects 80 purchase orders from the 6,400 issued during the year. Four lack the required approval. The tolerable deviation rate is 4%. The plant's controller was new this year. What is the right conclusion?

- A. The sample rate is 5%, above 4%, so the control cannot be relied on.
- B. The exceptions should be excused because the controller was new.
- C. The rate is about 0.06%, well within tolerance.
- D. The rate is 5%, within tolerance, so the control is effective.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

An auditor tests 120 items against a tolerable deviation rate of 3%. Using the simple rule that the sample rate must not exceed the tolerable rate, what is the most deviations she can find and still rely on the control?

- A. 0, because any deviation means the control fails.
- B. 40
- C. 3
- D. 4

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

An auditor at a county transit agency with 300 buses writes up a finding. Policy requires two signatures on checks over \$10,000. Fourteen of 50 such checks had one signature. After a clerk left, the finance supervisor began signing alone to save time. The agency is exposed to unauthorized payments. The agency recently rebranded its buses. Which element is “after a clerk left, the supervisor began signing alone”?

- A. Effect
- B. Cause
- C. Criteria
- D. Condition

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10. [TRANSFER — reversed stem / different variable]

In an audit finding, which element states what should be — the standard used to judge the condition?

- A.** Recommendation
- B.** Condition
- C.** Criteria
- D.** Cause

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

After issuing a final report on software licensing at an engineering firm with offices in four countries, the audit team finds that one key figure in the report was materially wrong. The audit committee chair praised the report. What must the CAE do?

- A.** Send corrected information to everyone who received the original report.
- B.** Correct the figure in the working papers only.
- C.** Leave it alone, since the report was well received.
- D.** Withdraw every report the department issued that year.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

Six months after an audit of vendor master-file controls at a retail chain with 90 stores, the CAE learns management has not fixed a high-risk finding and has decided to accept the risk. Sales rose 8% this year. The CAE believes the risk is beyond what the organization can tolerate. What should the CAE do?

- A.** Close the finding, since management chose to accept the risk.
- B.** Have internal audit staff fix the vendor file themselves.
- C.** Report straight to outside regulators before talking to anyone inside.
- D.** Discuss it with senior management and, if still unresolved, take it to the board.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer C Concept 1

The chief audit executive at a regional insurer ~~that writes policies in six states~~ reports functionally to the CFO. The CFO also approves the audit plan, the audit budget, and the CAE's pay. ~~This year the team rolled out a new data analytics tool.~~ What is the main concern?

Target word: which principle is at risk **Decides:** Functional reporting, plan approval, and pay run through management instead of the board.

A	Adjacent category	Administrative reporting to an executive is fine; functional reporting must go to the board.
B	Confusion set	Objectivity is an individual mindset; the problem described is the reporting line of the whole activity.
C	Correct	Independence is organizational; the board, not the CFO, should approve the plan, budget, and CAE pay.
D	Camouflage	The tool is irrelevant to the reporting-line issue.

2. Answer A Concept 1 • transfer

An internal auditor transferred into the audit department eight months ago from accounts payable, where she was the supervisor. She is assigned to audit accounts payable. What is the issue?

Target word: individual-level impairment **Decides:** She would assess operations she ran within the past year.

A	Correct	Assessing operations you were responsible for within the previous year impairs objectivity.
B	Confusion set	Independence concerns the activity's reporting line, not one auditor's past job.
C	Inverted operation	Her familiarity is exactly what creates the conflict.
D	Absolute language	The presumption applies to the past year, not forever.

3. Answer B Concept 2

A CAE at a hospital system ~~with 4,000 employees~~ is building next year's audit plan. Payroll has been audited every year since 2015 with no findings. A new electronic billing system went live six months ago and claim rejections have doubled. ~~The facilities unit just won a state safety award.~~ Which area should get top priority?

Target word: priority in a risk-based plan **Decides:** New system plus rising rejections signals the highest risk.

A	Inverted operation	A long record of no findings suggests lower risk, not higher priority.
B	Correct	A risk-based plan puts the highest current risk first; a new system with rising errors is that risk.
C	Absolute language	Equal rotation ignores risk; the plan must be risk-based.
D	Camouflage	The award does not signal audit risk.

4. Answer D Concept 3

Before fieldwork on an audit of inventory counts at a distribution center, an audit senior ~~with eleven years of experience~~ has gathered background on the counting process. ~~The warehouse manager is well liked by staff.~~ What should the senior do next to set the engagement objectives?

Target word: next planning step **Decides:** Objectives come from a preliminary risk assessment of the activity.

A	Camouflage	The manager's popularity does not set the objectives.
B	Dropped element	Skips the risk assessment that tells the auditor what to test.
C	Inverted operation	Reporting comes after the work, not before objectives are set.
D	Correct	Engagement objectives must reflect the results of a preliminary risk assessment.

5. Answer D Concept 4

Auditing receivables at a furniture wholesaler ~~that just opened a second showroom~~, an auditor wants the most reliable evidence that an \$85,000 balance owed by a key customer exists. ~~The customer has bought from the wholesaler for nine years.~~ Which evidence is most reliable?

Target word: most reliable evidence **Decides:** Evidence sent by the auditor and returned straight from an outside party.

A	Adjacent category	Internal documents are weaker than third-party confirmation.
B	Confusion set	Oral statements from management are among the least reliable forms.
C	Camouflage	A long relationship does not prove the balance exists.
D	Correct	Independent outside evidence obtained directly by the auditor is the most reliable.

6. Answer B Concept 4 • transfer

Which of the following is the least reliable audit evidence?

Target word: least reliable **Decides:** Oral evidence from the party being audited.

A	Confusion set	Recomputation by the auditor is strong evidence.
B	Correct	It is unverified and comes from the party with an interest in the result.
C	Inverted operation	Direct auditor observation is among the most reliable.
D	Adjacent category	Independent outside evidence is highly reliable.

7. Answer A Concept 5

Testing purchase approvals at a food-processing plant ~~that runs three shifts~~, an auditor selects 80 purchase orders from the 6,400 issued during the year. Four lack the required approval. The tolerable deviation rate is 4%. ~~The plant's controller was new this year.~~ What is the right conclusion?

Target word: deviation rate and reliance **Decides:** $4 / 80 = 5\%$, above the 4% tolerable rate.

A	Correct	$4 / 80 = 5\%$, which exceeds the tolerable rate.
B	Camouflage	A new controller explains, but does not remove, the deviations.
C	Wrong stem number	Divides by the population of 6,400 instead of the sample of 80.
D	Inverted operation	Reverses the comparison; 5% is above 4%.

8. Answer C Concept 5 • transfer

An auditor tests 120 items against a tolerable deviation rate of 3%. Using the simple rule that the sample rate must not exceed the tolerable rate, what is the most deviations she can find and still rely on the control?

Target word: solve for maximum deviations **Decides:** $3\% \times 120 = 3.6$, so at most 3 whole deviations.

A	Absolute language	A tolerable rate exists precisely to allow some deviations.
B	Inverted operation	Divides 120 by 3 instead of taking 3% of 120.
C	Correct	$3 / 120 = 2.5\%$ is within 3%; $4 / 120 = 3.3\%$ is not.
D	Dropped element	Rounds 3.6 up; $4 / 120 = 3.3\%$, above the tolerable rate.

9. Answer B Concept 6

An auditor at a county transit agency ~~with 300 buses~~ writes up a finding. Policy requires two signatures on checks over \$10,000. Fourteen of 50 such checks had one signature. After a clerk left, the finance supervisor began signing alone to save time. The agency is exposed to unauthorized payments. ~~The agency recently rebranded its buses.~~ Which element is “after a clerk left, the supervisor began signing alone”?

Target word: name the finding element **Decides:** It explains why the gap exists.

A	Inverted operation	The effect is the result (exposure to unauthorized payments), not the reason.
B	Correct	The reason the condition differs from the criteria is the cause.
C	Adjacent category	The criteria is the two-signature policy.
D	Confusion set	The condition is what was found: 14 of 50 checks had one signature.

10. Answer C Concept 6 • transfer

In an audit finding, which element states what should be — the standard used to judge the condition?

Target word: name the element from its definition **Decides:** “What should be” is the standard.

A	Adjacent category	A recommendation proposes a fix; it is not the standard.
B	Inverted operation	Condition is what is, not what should be.
C	Correct	Criteria are the policies, rules, or benchmarks the condition is measured against.
D	Confusion set	Cause explains why the gap exists.

11. Answer A Concept 7

After issuing a final report on software licensing at an engineering firm ~~with offices in four countries~~, the audit team finds that one key figure in the report was materially wrong. ~~The audit committee chair praised the report.~~ What must the CAE do?

Target word: response to an error in a final communication **Decides:** A significant error was in an issued final report.

A	Correct	All recipients of the original must get the correction.
B	Dropped element	Leaves the report’s readers relying on a wrong number.
C	Camouflage	Praise does not fix a material error.
D	Absolute language	Only the report with the error needs correction.

12. Answer D Concept 8

Six months after an audit of vendor master-file controls at a retail chain ~~with 90 stores~~, the CAE learns management has not fixed a high-risk finding and has decided to accept the risk. ~~Sales rose 8% this year.~~ The CAE believes the risk is beyond what the organization can tolerate. What should the CAE do?

Target word: escalation path **Decides:** Management accepted a risk the CAE thinks is unacceptable.

A	Dropped element	Skips the escalation the CAE owes when the risk is unacceptable.
B	Adjacent category	Doing management's work impairs objectivity.
C	Inverted operation	Reverses the order; escalation starts with senior management, then the board.
D	Correct	That is the required escalation for unacceptable risk acceptance.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	4	
Wrong stem number	A figure copied from the prompt that is not the answer.	1	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	6	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Independence vs. objectivity	Independence is organizational (the internal audit activity reports functionally to the board); objectivity is the individual auditor's unbiased mindset, presumed impaired when auditing work they did or ran within the past year.	Using the two words interchangeably, or thinking administrative reporting to a senior executive breaks independence.	Who approves the plan, budget, and CAE pay vs. an individual auditor's past role.
2	Risk-based internal audit plan	The CAE builds the audit plan from a documented risk assessment so the highest risks get coverage first.	Rotating evenly or re-auditing what was always audited.	A list of candidate areas with different risk signals.
3	Engagement planning	Engagement objectives and scope come from a preliminary assessment of the risks relevant to the activity under review.	Jumping straight into testing after gathering background.	"Before fieldwork" or "to set objectives."
4	Evidence quality	Evidence must be sufficient, reliable, relevant, and useful; evidence the auditor obtains directly or from independent outside parties beats internal documents and oral assurances.	Treating management's word or internal copies as strong evidence.	"Most reliable" or "least reliable" evidence.
5	Attribute sampling conclusions	Sample deviation rate = deviations / sample size; if it exceeds the tolerable rate, the control cannot be relied on.	Dividing by the population, or excusing deviations with explanations.	A sample size, a count of exceptions, and a tolerable rate.
6	Elements of an audit finding	Criteria = what should be; condition = what is; cause = why the gap exists; effect = the risk or impact.	Confusing cause with condition, or criteria with condition.	A labeled list of facts from a finding.
7	Communicating results	If a final communication contains a significant error or omission, the CAE must send corrected information to everyone who received the original.	Fixing only the working papers or telling only one recipient.	An error found after the final report is issued.
8	Monitoring progress and risk acceptance	The CAE runs a follow-up process; if management accepts a risk the CAE thinks is unacceptable, the CAE discusses it with senior management and then, if unresolved, with the board.	Having internal audit fix the problem itself, or simply closing the finding.	Management declines to act on a finding.

Course scope (public description): Internal Auditing II is a continuation of D560: Internal Auditing I and covers the competencies expected of an internal audit professional in the business world. This course is well aligned with the Institute of Internal Auditors' (IIA) International Professional Practices Framework (IPPF). The course focuses on the five domains of the IPPF: the internal audit activity, planning the engagement, performing the engagement,

communicating the engagement, and monitoring progress. There are no prerequisites for this course.